
Handout, Session 1: Money and why ours fails

Keep this page. It sums up what we covered.

What money is

Money is a tool for trade and a way to measure value. It works because everyone agrees to accept it. Money is not valuable in itself. It lets you trade one thing for another without having to find someone who wants exactly what you have.

The three jobs of money

- **Store of value:** it should hold its worth so you can save for later.
- **Medium of exchange:** you can trade it for almost anything.
- **Unit of account:** it gives one shared way to price and compare things.

What makes money good

Good money is:

- **Durable:** it lasts.
- **Divisible:** it splits into smaller amounts.
- **Portable:** it is easy to carry.
- **Acceptable:** people take it with confidence.
- **Scarce:** there is a limited supply.
- **Fungible:** one unit equals another of the same value.

How money changed over time

1. **Barter:** swapping goods directly. Hard, because both people must want what the other has.
2. **Commodity money:** one scarce good everyone accepts, like cowry shells, gold, or silver.

3. **Fiat money:** today's notes and coins. "Fiat" means "by decree." It is money because the government says so, not because it is backed by gold.

Inflation, in one line

When more money is created, each note in your pocket buys a little less. That is inflation. Nobody gets richer when the supply grows; prices just rise.

Our `[local currency]` example: think of what one everyday item cost years ago, and what it costs now. The difference is lost purchasing power.

[CONFIRM: a local price example, filled in by the country lead.]

An honest note

Fiat money is convenient and cheap to use. The weakness is that a small group can create more of it, and ordinary savers carry the cost. People have long wanted money that no small group can print at will. That search is where Bitcoin comes in, which is our next session.

Remember

- 1 bitcoin = 100,000,000 satoshis ("sats"). Sats are the everyday unit.
- This course gives no financial advice and makes no price predictions. Bitcoin's price can fall.

Glossary of terms: `../ ../ ../translations/GLOSSARY.md`